November 1943, when he suggested that the government should lend their surplus funds to the British government as a ways and means advance shown merely as a book entry in government accounts. However, nothing came of it.

Purshotamdas's other suggestion was that the government should revise their loan policy and offer attractive terms for short periods, if necessary, free of income tax. The Governor rejected this suggestion too, saying that the government was committed to a cheap money policy. Purshotamdas submitted that the RBI was being used to finance the Government of India under circumstances unforeseen at the time of the RBI Act and that this could lead to a loss of confidence in the RBI among the public. He requested that the question of sterling balances and inflation be placed on the agenda of the Board meeting slated for February 8, 1943. Taylor had drafted a memorandum on sterling balances and inflation which was circulated to the Board before the meeting. The main conclusion was that there could be no complete solution to the problem of rising prices in wartime if the war effort was to be maintained at its fullest pitch and pace. The problem, according to Taylor, was more one of practical administration rather than a monetary one. His explanation seemed to satisfy the Board.

The meeting also discussed Purshotamdas's draft resolution which sought an assurance that any future depreciation of the value of sterling would not affect the value of sterling possessed by India, prompting Taylor to remark that 'it would enable India both to eat its inflationary cake and have it' too.[4] An assurance was also sought that the sterling would be freely convertible after the war to finance India's purchases abroad. At the end of the discussions, the Board resolved that they would recommend to government that they draw up a considered programme of development and reconstruction for India for the post-war period, framing an approximate requirement of capital and other goods, and the sources from which these could be acquired. The Board also sought an assurance from the government that the sterling balances would be available to India when needed.

As early as 1942, Purshotamdas and his other colleagues (among others, G.D. Birla, G.L. Mehta, and B.M. Birla), had harboured suspicions that Britain would attempt to scale down its sterling debt to India using various arguments. The division of war expenditure between Britain and India was